

# LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease") is entered into as of November 30, 2012, between **Ritchie-Vandervort Co.**, ("Landlord"), and **Smitham Ltd.**, ("Tenant").

1. **DEFINITIONS AND BASIC PROVISIONS.** Unless the context otherwise specifies or requires, the following terms shall have the meanings herein specified:

(a) **Lease Date:** The date set forth above.

(b) **Premises:** Suite No. 1134 in the office building (the "Building") located on the land described as **Corporate Place**, MOSELLE County, Mississippi (the "Land"), and whose street address is **1031 Tori Lane, MOSELLE, Mississippi 39459**. The Premises are outlined on the plan attached to this Lease as Exhibit "A".

(c) **Project:** The Land together with the Building and all other buildings, improvements and appurtenances thereon, together with any such additions or changes as Landlord may from time to time designate as included within the Project.

(d) **Term:** Sixty-three (63) months, commencing October 1, 2012, (the "Commencement Date") and ending at 5:00 p.m. December 31, 2017, subject to adjustment as provided in the Lease.

(e) **Basic Rental:**

|                   |               |
|-------------------|---------------|
| 10/01/12-12/31/12 | FREE          |
| 01/01/13-12/31/13 | \$2,234/month |
| 01/01/14-12/31/14 | \$2,374/month |
| 01/01/15-12/31/15 | \$2,695/month |
| 01/01/16-12/31/16 | \$2,744/month |
| 01/01/17-12/31/17 | \$2,855/month |

(f) **Security Deposit:** \$2,355

(g) **Rent:** Basic Rental, Tenant's share of Excess, and all other sums that Tenant may owe to Landlord under the Lease.

(h) **Permitted Use:** The Premises shall be used only for general business office purposes and the purposes incidental to that use, and for no other purpose.

(i) **Tenant's Proportionate Share:** 2.73 %, which is the percentage by dividing

(a) the 2,804 rentable square feet in the Premises by (b) the 183,364 rentable square feet in the Project.

(j) **Initial Liability Insurance Amount:** \$1,000,000.00.

2. **LEASE GRANT.** Subject to the terms of this Lease, Landlord leases to Tenant, and Tenant leases from Landlord, the Premises.

3. **TERM.** If the Commencement Date is not the first day of a calendar month, then the Term shall be extended by the time between the Commencement Date and the first day of the next month. If this Lease is executed before the Premises become vacant or otherwise available and ready for occupancy by Tenant, or if any present occupant of the Premises holds over and Landlord cannot acquire possession of the Premises before the Commencement Date, then (a) Tenant's obligation to pay Rent hereunder shall be waived until Landlord tenders possession of the Premises to Tenant, (b) the Term shall be extended by the time between the scheduled Commencement Date and the date on which Landlord tenders possession of the Premises to Tenant (which date will then be defined as the Commencement Date), (c) Landlord shall not be in default hereunder or be liable for damages therefor, and (d) Tenant shall accept possession of the Premises when Landlord tenders possession thereof to Tenant. By occupying the Premises, Tenant shall be deemed to have accepted the Premises in their condition as of the date of such occupancy, subject to the performance of punch-list items that remain to be performed by Landlord, if any. Tenant shall execute and deliver to Landlord, within ten days after Landlord has requested same, a letter confirming (1) the Commencement Date, (2) that Tenant has accepted the Premises, and (3) that Landlord has performed all of its obligations with respect to the Premises (except for punch-list items specified in such letter).

#### 4. **RENT**

(a) **Payment.** Tenant shall timely pay to Landlord the Basic Rental and all additional sums to be paid by Tenant to Landlord under this Lease, including the amounts set forth in Section 4.(b) below, without demand, deduction or set off, at Landlord's Address (or such other address as Landlord may from time to time designate in writing to Tenant). Basic Rental, adjusted as herein provided, shall be payable monthly in advance. The first monthly installment of Basic Rental shall be payable contemporaneously with

the execution of this Lease; thereafter, monthly installments of Basic Rental shall be due on the first day and late on the fifth day of the second full calendar month of the Term and continuing on the first day of each succeeding calendar month during the Term. Basic Rental for any fractional month at the beginning of the Term shall be prorated based on 1/365 of the current annual Basic Rental for each day of the partial month this Lease is in effect, and shall be due on the Commencement Date.

#### **5. LANDLORD'S OBLIGATIONS.**

(a) **Services.** Provided no Event of Default exists, Landlord shall use all reasonable efforts to furnish to Tenant with those services customarily provided in comparable buildings in the vicinity of the Project, including without limitation, (1) water (hot and cold) at those points of supply provided for general use of tenants of the Building; (2) heated and refrigerated air conditioning as appropriate, from 7:00 a.m. to 6:00 p.m., Monday - Friday, excluding holidays and at such temperatures and in such amounts as are reasonably considered by Landlord to be standard;

(b) **Excess Utility Use.** Landlord shall use reasonable efforts to furnish electrical current for computers, electronic data processing equipment, special lighting, equipment that requires more than 110 volts, or other equipment whose electrical energy consumption exceeds normal office usage through the then-existing feeders and risers serving the Building and the Premises, and Tenant shall pay to Landlord the cost of such service within ten (10) days after Landlord has delivered to Tenant an invoice therefor.

#### **6. IMPROVEMENTS; ALTERATIONS; REPAIRS; MAINTENANCE.**

(a) **Improvements; Alterations.** Improvements to the Premises shall be installed at the expense of Tenant only in accordance with plans and specifications, which have been previously submitted to and approved in writing by Landlord. After the initial Tenant improvements are made, no alterations or physical additions in or to the Premises may be made without Landlord's prior written consent.

(b) **Repairs; Maintenance.** Tenant shall maintain the Premises in a clean, safe, operable, attractive condition, and shall not permit or allow to remain any waste or damage to any portion of the Premises. Tenant shall repair or replace, subject to Landlord's direction and supervision, any damage to the Project caused by Tenant or Tenant's agents, employees, contractors, or invitees.

(c) **Performance of Work.** All work described in this Section 8 shall be performed only by Landlord or by contractors and subcontractors approved in writing by Landlord.

(d) **Mechanic's Liens.** Tenant shall not permit any mechanic's liens to be filed against the Premises or the Project for any work performed, materials furnished, or obligation incurred by or at the request of Tenant. If such a lien is filed, then Tenant shall, within ten (10) days after Landlord has delivered notice of the filing to Tenant, either pay the amount of the lien or diligently contest such lien and deliver to Landlord a bond or other security reasonably satisfactory to Landlord. If Tenant fails to timely take either such action, then Landlord may pay or bond the lien claim without inquiry as to the validity thereof, and any amounts so paid, including expenses and interest, shall be paid by Tenant to Landlord within ten (10) days after Landlord has delivered to Tenant an invoice therefor.

7. **USE.** Tenant shall continuously occupy and use the Premises only for the Permitted Use and shall comply with all laws, orders, rules, and regulations relating to the use, condition, and occupancy of the Premises, including, but not limited to, the Americans With Disabilities Act and any environmental laws. The Premises shall not be used for any use, which is disreputable or creates extraordinary fire hazards or results in an increased rate of insurance on the Building or the Project or its contents or the storage of any hazardous materials or substances. If, because of Tenant's acts, the rate of insurance on the Project, its contents increases, then such acts shall be an Event of Default, Tenant shall pay to Landlord the amount of such increase on demand, and acceptance of such payment shall not constitute a waiver of any of Landlord's other rights. Tenant shall conduct its business and control its agents, employees, and invitees in such a manner as not to create any nuisance or interfere with, annoy, or disturb any other tenant(s) or Landlord in its management of the Building. Tenant shall have no right to use the roof of the Building for any purpose.

#### **8. ASSIGNMENT AND SUBLETTING.**

(a) **Transfers; Consent.** Tenant shall not, without the prior written consent of Landlord (which Landlord's consent shall not be unreasonably withheld considering all matters affecting the Building), (1) advertise that any portion of the Premises is available for lease, (2) assign, transfer, or encumber this Lease or any estate or interest herein, whether directly or by operation of law, (3) permit any other entity to become Tenant hereunder by merger, consolidation, or other reorganization, (4) if Tenant is an entity other than a corporation whose stock is publicly traded, permit the transfer of an ownership interest in Tenant so as to result in a change in the current control of Tenant, (5) sublet any portion of the Premises.

9. **PAYMENT BY TENANT; NON WAIVER.**

(a) **Payment by Tenant.** Upon any Event of Default, Tenant shall pay to Landlord all costs incurred by Landlord (including court costs and reasonable attorneys' fees and expenses) in (1) obtaining possession of the Premises, (2) removing and storing Tenant's or any other occupant's property, (3) repairing, restoring, altering, remodeling, or otherwise putting the Premises into condition acceptable to a new tenant, (4) if Tenant is dispossessed of the Premises and this Lease is not terminated, reletting all or any part of the Premises (including brokerage commissions, cost of tenant finish work, and other costs incidental to such reletting).

(b) **No Waiver.** Landlord's acceptance of Rent following an Event of Default shall not waive Landlord's rights regarding such Event of Default. No waiver by Landlord of any violation or breach of any of the terms contained herein shall waive Landlord's rights regarding any future violation of such term or violation of any other term.

10. **LANDLORD'S LIEN.** Tenant grants to Landlord, to secure performance of Tenant's obligations hereunder, a security interest in all equipment, fixtures, furniture, improvements, and other personal property of Tenant now or hereafter situated on the Premises, and all proceeds therefrom (the "Collateral"), and the Collateral shall not be removed from the Premises without the consent of Landlord until all obligations of Tenant have been fully performed. Upon the occurrence of an Event of Default, Landlord may, in addition to all other remedies, without notice or demand except as provided below, exercise the rights afforded a secured party under the Uniform Commercial Code of the State in which the Building is located (the "UCC"). In connection with any public or private sale under the UCC, Landlord shall give Tenant five- days' prior written notice of the time and place of any public sale of the Collateral or of the time after which any private sale or other intended disposition thereof is to be made, which is agreed to be a reasonable notice of such sale or other disposition.

11. **SURRENDER OF PREMISES.** No act by Landlord shall be deemed an acceptance of a surrender of the Premises, and no agreement to accept a surrender of the Premises shall be valid unless the same is made in writing and signed by Landlord. At the expiration or termination of this Lease, Tenant shall deliver to Landlord the Premises with all improvements located thereon in good repair and condition, reasonable wear and tear (and condemnation and fire or other casualty damage not caused by Tenant, as to which Sections 14 and 15 shall control) excepted, and shall deliver to Landlord all keys to the Premises.

12. **HOLDING OVER.** If Tenant fails to vacate the Premises at the expiration or earlier termination of this Lease, then Tenant shall be a tenant at will and, in addition to all other damages and remedies to which Landlord may be entitled for such holding over, Tenant shall pay, in addition to the other Rent, a daily Basic Rental equal to the greater of (a) 125% of the daily Basic Rental payable during the last month of the Term, or (b) the prevailing rental rate in the Building for similar space.

13. **CERTAIN RIGHTS RESERVED BY LANDLORD.** Provided that the exercise of such rights does not unreasonably interfere with Tenant's occupancy of the Premises, Landlord shall have the following rights:

(a) to decorate and to make inspections, repairs, whether structural or otherwise, in and about the Premises or to or for other premises in the Project, or any part thereof (including, but not limited to, the Premises);

(b) to take such reasonable measures as Landlord deems advisable for the security of the Project and its occupants, including without limitation searching all persons entering or leaving the Project or the Building;

(c) to change the name by which the Project or the Building is designated;

14. **MISCELLANEOUS.**

(a) **Landlord Transfer.** Landlord may transfer, in whole or in part, the Project or the Building and any of its rights under this Lease. If Landlord assigns its rights under this Lease, then Landlord shall thereby be released from any further obligations hereunder.

(b) **Landlord's Liability.** The liability of Landlord to Tenant for any default by Landlord under the terms of this Lease shall be limited to Tenant's actual direct, but not consequential, damages therefor and shall be recoverable from the equity interest of Landlord in the Project, and Landlord shall not be personally liable for any deficiency. This section shall not be deemed to limit or deny any remedies which Tenant may have in the event of default by Landlord hereunder which do not involve the personal liability of Landlord.

(c) **Force Majeure.** Other than for Tenant's monetary obligations under this Lease and obligations which can be cured by the payment of money (e.g., Rent, maintaining insurance, etc.), whenever a period of time is herein prescribed for action to be taken by either party hereto, such party shall not be liable or responsible for, and there shall be excluded from the computation for any such period of time, any delays due to strikes, riots, acts of God, shortages of labor or materials, war, governmental laws, regulations, or restrictions, or any other causes of any kind whatsoever which are beyond the control of such party.

(d) **No Waiver.** The waiver by Landlord of any agreement, condition or provision contained in this Lease will not be deemed to be a waiver of any subsequent breach of the same or any other agreement, condition or provision contained in this Lease nor will any custom or practice that may arise between the parties in the administration of the terms of this Lease be construed to waive or to lessen the right of Landlord to insist upon the performance by Tenant in strict accordance with the terms of this Lease.

(e) **Authority.** Tenant and the party executing this Lease on behalf of Tenant represent to Landlord that such party is authorized to do so by requisite action of the board of directors, partners, members or managers, as the case may be, and agree upon request to deliver to Landlord a resolution or similar document to that affect.

(f) **Governing Law.** This Lease shall be governed by and construed in accordance with the laws of the State of Oklahoma.

(g) **No Easements for Light or Air.** Any diminution or shutting off of light, air, or view by any structure that may be erected on lands adjacent to the Project will in no way affect this Lease or impose any liability on Landlord.

15. **CONFIDENTIALITY.** Tenant agrees that the terms of this Lease shall be confidential and shall not be disclosed to third parties except to the extent reasonably necessary for business purposes of Tenant or as may be required by a court of competent jurisdiction.

16. **SPECIAL PROVISIONS.**

**Renewal Options:** Provided that this lease is then in full force and effect and provided further that Tenant is not then in breach or default of this lease, Tenant is hereby granted two (2) options to renew this lease for five (5) year terms. Each option shall be exercised by Tenant delivering to Landlord, not later than 3 months prior to the date which the term would otherwise expire, written notice of it's election to extend the term of the lease. The Basic Rent for each option shall be the then prevailing market rate including customary and market landlord concessions including Tenant Improvements. In the event Tenant fails to timely exercise it's renewal option or is in default under the Lease, then such option shall be deemed void and of no further force and effect.

LANDLORD:

Ritchie-Vandervort Co.

By:

Name: Michael G. Mitchell

Its: Director of Operations

TENANT:

Smitham Ltd.

By:

Name: Fredrick B. Coleman

Its: Manager